

1. Market Drivers

Market drivers are **external business and competitive pressures** that encourage organisations to transform.

Market Driver	Singapore Example	Impact on Businesses
Increasing competition	Local businesses compete with digital-first companies such as Grab, Shopee and Lazada, as well as international platforms.	Companies need better digital experiences, pricing and efficiency.
Growth of the digital economy	Singapore’s digital economy accounted for 18.6% of GDP in 2024 .	Businesses are under pressure to participate in digital markets.
Changing industry expectations	Retailers increasingly need e-commerce, digital payments, data analytics and omnichannel services.	Traditional businesses must move beyond physical stores.
Globalisation	Singapore businesses can reach customers throughout Asia through digital platforms.	Digital channels allow companies to expand without opening physical outlets in every market.
Cost and productivity pressure	Businesses seek automation to reduce operating costs and improve productivity.	Encourages AI, automation, cloud computing and digital workflows.

Government digitalisation initiatives	Singapore's IMDA and EnterpriseSG actively support enterprise digitalisation and provide digitalisation roadmaps and grants.	Reduces the barriers for businesses to adopt digital technology.
Industry disruption	Traditional industries such as retail, finance, logistics and manufacturing are being transformed by digital platforms.	Established companies need to redesign their business models rather than simply digitise existing processes.

Singapore example: The refreshed Retail Industry Digital Plan launched in 2026 is guiding more than **2,000 SME retailers** towards progressively more advanced digital solutions.

2. Technology Drivers

Technology drivers are **new technologies and digital infrastructure** that make transformation possible.

Technology Driver	Singapore Example	How It Drives Transformation
Artificial Intelligence (AI)	Singapore businesses increasingly use AI for customer service, finance, marketing and operations.	Automates decisions, personalises services and improves productivity.
Generative AI	Businesses can use tools such as generative AI for content, customer support, coding and knowledge management.	Changes how employees perform knowledge-based tasks.

Cloud computing	Businesses use cloud platforms instead of relying entirely on on-premise infrastructure.	Provides scalable computing and enables remote/digital operations.
Data analytics	Retailers analyse purchasing and customer behaviour.	Enables better forecasting, personalisation and decision-making.
IoT	Sensors can monitor machines, inventory, vehicles and facilities.	Creates real-time data and enables predictive operations.
Mobile technology	Smartphones are central to banking, shopping, payments and customer engagement.	Enables businesses to interact with customers anywhere.
Digital payments	PayNow, cards, mobile payments and e-wallets are widely used.	Makes transactions faster and supports cashless business models.
Cybersecurity	As businesses become more digital, cybersecurity becomes increasingly important.	Encourages investment in secure digital infrastructure and processes.
APIs and digital platforms	Businesses can connect their systems with banks, delivery providers, marketplaces and partners.	Creates interconnected digital ecosystems rather than isolated businesses.

A particularly strong Singapore example: AI

AI adoption among Singapore SMEs increased from **4.2% in 2023 to 14.5% in 2024**, while adoption among non-SMEs increased from **44% to 62.5%**.

Singapore has also launched the **National AI Impact Programme**, which aims to support **10,000 enterprises over three years** in advancing their AI adoption.

So you could explain the technology driver as:

AI → Automation → Better productivity → New services → New business models

3. Customer Drivers

Customer drivers are changes in **customer expectations, behaviour and preferences** that force businesses to transform.

Customer Driver	Singapore Example	Business Response
Demand for convenience	Customers expect to shop, order food and access services through their smartphones.	Mobile apps, e-commerce and delivery services.
24/7 availability	Customers expect services to be available beyond traditional business hours.	Self-service portals, mobile apps and chatbots.
Personalisation	Customers expect recommendations and promotions relevant to their interests.	AI and customer data analytics.
Faster service	Customers increasingly expect immediate responses and transactions.	Automation, chatbots and digital payment systems.

Cashless expectations	Digital payments are widely accepted across Singapore, including traditional businesses.	Businesses introduce PayNow, mobile payments and card payments.
Omnichannel experience	Customers may research online, visit a physical store and purchase through an app.	Businesses integrate physical and digital channels.
Price transparency	Customers can easily compare prices online.	Businesses need competitive pricing and digital promotions.
Digital customer support	Customers expect assistance through digital channels.	Chatbots, WhatsApp, social media and online support.
Demand for personalised experiences	Customers expect businesses to remember preferences and purchase history.	CRM, loyalty programmes and AI recommendations.

You can simplify the three drivers into this:

MARKET

“Why does the business need to change?”

Examples:

- Competition
- Globalisation
- Cost pressure
- Industry disruption
- Government initiatives



TECHNOLOGY

“What makes the change possible?”

Examples:

- AI
- Cloud
- IoT
- Data analytics
- Mobile technology
- APIs
- Digital payments



CUSTOMER

“What do customers now expect?”

Examples:

- Convenience
- Speed
- Personalisation
- 24/7 service
- Mobile access
- Cashless payment
- Omnichannel experience



DIGITAL TRANSFORMATION

Business changes its processes, customer experience and business model using digital technologies.

Example: FairPrice Singapore

Driver	FairPrice Example
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Market	Competition from online grocery platforms and the need to improve retail productivity
Technology	AI, smart carts, data analytics, digital payments and mobile applications
Customer	Customers want convenient online shopping, personalised promotions, digital rewards and seamless physical/online experiences
Transformation	FairPrice moves from a traditional supermarket to an omnichannel digital ecosystem

FairPrice's **Store of Tomorrow** programme is a good illustration: it incorporates AI, data analytics, smart carts and digital tools into the physical retail environment.

A simple example

Market Driver: Competition is increasing.

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Customer Driver: Customers want faster and more convenient shopping.

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Technology Driver: AI, mobile apps and data analytics make this possible.

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Digital Transformation: FairPrice creates an integrated online + physical + data-driven retail ecosystem.

In short:

Market pressure creates the need → Technology provides the capability → Customer expectations create the demand → Digital transformation changes the business.

Omnichannel services means providing customers with a seamless and connected experience across multiple channels—such as physical stores, websites, mobile apps, social media, and customer service.

The key idea is that all channels work together, rather than operating separately.

Simple example: FairPrice

Imagine a customer wants to buy groceries:

1. 📱 **Mobile app** – Customer searches for products and adds them to a cart.
2. 🛒 **Physical store** – Customer visits a FairPrice store and checks the actual products.
3. 💳 **Digital payment** – Customer pays using a digital payment method.
4. 🚚 **Delivery** – Customer can choose to have the products delivered.
5. 🎁 **Loyalty programme** – Customer earns Linkpoints from the purchase.
6. 📱 **After-sales** – Customer receives digital receipts and promotions through the app.

These activities are connected, so the customer doesn't feel like they are dealing with completely separate businesses.

Multichannel vs Omnichannel

Multichannel	Omnichannel
Business has several channels	Business has several connected channels
Website, store and app may operate separately	Website, store and app share information
Customer may need to repeat information	Customer information can follow across channels
Channels compete or operate independently	Channels work together
Focus: more ways to sell	Focus: one seamless customer experience

Omnichannel service is an integrated approach where a business connects its physical and digital channels to provide customers with a consistent and seamless experience.

One-line example

Traditional:

Customer → Physical store → Purchase

Multichannel:

Customer → Physical store OR Website OR App

Omnichannel:

Customer → App → Store → Digital Payment → Delivery → Loyalty → App

So, omnichannel is not simply “having many channels.” It is about connecting those channels into one customer experience.

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Dropshipping is an e-commerce business model where a seller does not keep the products in stock. Instead, when a customer places an order, the seller purchases the product from a supplier, and the supplier ships the product directly to the customer.

Simple example

Imagine you create an online store selling headphones.

Traditional retail:

Supplier → You buy inventory → Your warehouse → Customer

You need to purchase and store 100 headphones before selling them.

Dropshipping:

Supplier → Customer

You advertise the headphones on your online store. When a customer orders:

- 1. Customer pays you \$50.**
- 2. You place the order with your supplier for \$30.**
- 3. Supplier ships the headphones directly to the customer.**
- 4. Your gross margin is \$20 (before advertising, platform fees, payment fees, etc.).**

How dropshipping works

CUSTOMER

|

| \$50 order

↓

ONLINE STORE

|

| \$30 supplier order

↓

SUPPLIER

|

| Ships product

↓

CUSTOMER

Key characteristics

Feature	Dropshipping
Own inventory?	✗ Usually no
Own warehouse?	✗ Usually no
Supplier stores products?	✓ Yes
Supplier ships to customer?	✓ Yes

Initial investment	Usually lower
Seller controls product quality?	Limited
Seller controls delivery?	Limited
Main seller responsibilities	Marketing, sales, customer service and managing the online store

Singapore example

Suppose a Singapore entrepreneur creates an online store selling fitness accessories.

Instead of buying 500 yoga mats and storing them in Singapore, the entrepreneur could work with a supplier. When a Singapore customer orders a yoga mat:

Customer → Online Store → Supplier → Customer

The entrepreneur earns the difference between the selling price and the supplier/operating costs.

Dropshipping vs normal e-commerce

Normal e-commerce:

Buy → Store → Advertise → Sell → Pack → Deliver

Dropshipping:

Advertise → Sell → Order from supplier → Supplier packs → Supplier delivers

Important point for your digital-business lesson

Dropshipping is an example of how digital platforms can change a traditional value chain.

The seller may not manufacture, warehouse, or physically handle the product. Instead, the business focuses on digital marketing, customer acquisition, online transactions, platform management and customer relationships.

So you could describe it as:

Dropshipping is an e-commerce model that separates selling from inventory ownership and fulfilment by using digital platforms to connect customers directly with suppliers.